



RECORD!



PRICING 1.0



JESSIE,
GFB TL NETWORK
MANAGEMENT 1920

YOUR HOST

AIESECer since 2013
iGV, TM, OD
LCP AIESEC in Penang 1718
MCVP FL AIESEC in Malaysia
1819

SPACE OBJECTIVES



Objective 1

To understand the steps for pricing research



Objective 2

To understand how to make decisions for changing pricing



Objective 3

Practically experience the different pricing tools step by step

1

***Evaluate Your
Pricing***



WHAT IS A COST ANALYSIS?

A **cost analysis** is the first step of any pricing strategy. Pricing is the monetary value we put on the products we sell, understand the reality of costs is an important part before making any pricing changes.

Here are some questions to get you started -

- *Which costs are certain to happen regardless of my entity's performance?*
- *How much is the product income covering for the costs? How much is the profit margin?*
- *How does my entity define cost structure? What specific cost categories are we spending on?*



SPLITTING UP COSTS

Costs can be divided in two ways: **Direct and indirect costs** or **fixed and variable costs**. The division is made depending on what you want to get out of the analysis.

DIRECT VS INDIRECT

Direct Costs: are those that you can clearly relate to the output of one product. For example oGV and marketing costs for oGV or accommodation for iGE trainees.

Indirect Costs: Those costs that cannot directly be allocated to one particular product or service because they relate to general activity of the organisation or cover for multiple products at the same time. Examples for that are office costs, salaries for MCVP Finance/TM.

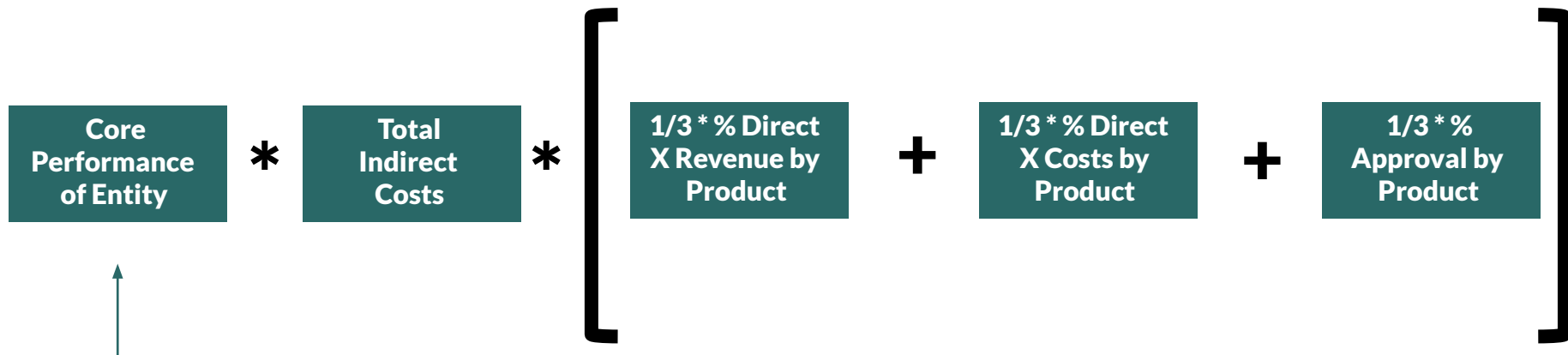
VARIABLE VS FIXED

Fixed Costs: Are those that won't change regardless of the output you have. For example you will always pay the same amount of rent for a year regardless of how many oGV EPs you have. Or you will always pay the same salary for an iGV CEEDer regardless of how many exchanges they make.

Variable Costs: They change with the output. The clearest example here is accommodation for trainees. The more you bring the more you pay for accommodation.

Calculating Indirect Costs

Indirect Costs are allocated to the product based on its revenues, direct costs and Approvals. In the case of products we first must know what percentage of our business is taken up by products.



This is why we calculate our core performance first (Total X Revenues/Total Revenues).

2

***Establish Your
Criteria***



IDENTIFYING PROBLEMS

Your pricing research and analysis should come with a specific **objective**. What perspectives will you consider? You can ask these following questions as a guide -

- *Is my pricing covering my basic fixed costs?* **COST ANALYSIS**
- *Is my pricing covering my indirect costs?* **COST ANALYSIS**
- *Is my pricing aligned to the value perceived by customers in the market?* **CUSTOMER-BASED MARKET ANALYSIS**
- *Is my pricing competitive in the market?* **COMPETITOR-BASED MARKET ANALYSIS**
- *How does my entity fare in comparison to other entities with similar realities?* **MACRO-VARIABLE ANALYSIS**

3

***Weigh-in
Different Criteria***



AVAILABLE ANALYSIS

METHODS

1

Cost-Plus Pricing

2

Market Research

2.1

Customer-Based Market Analysis

2.2

Competitor-Based Market Analysis

2.3

Macro-Variables Pricing Tool

COST-PLUS PRICING

WHAT IS IT?

Cost plus pricing involves **adding a mark-up (extra amount)** to the cost of goods and services to arrive at a selling price.

Under this approach, you add together the direct and indirect costs for a product, and add to it a mark-up percentage in order to derive the price of the product.

For example,

Total Direct Costs of oGV: €100

Total Indirect Costs of oGV: €130

Desired Mark-up: 35%

Total Costs oGV $€100 + €130 = €230$

Price oGV: $€230 * 1.35 = €310.50$

COST-PLUS PRICING PROS VS CONS

PROS

Simple to set: Cost plus pricing is relatively simple to set as you see its calculations are not that difficult to make. The more complex one is only the one for indirect cost calculation.

Justifiable: As a non-profit it's easier to justify a pricing that derives from cost and a simple mark-up rather than a market price.

CONS

Ignores competition and the market in general: Not taking competition or similar organisations into consideration might make us very misaligned with the market and affect our market share.

Cost controlling might run out of control: If costs are a basis for the price, then every year when doing price review entities might ignore innovative cost-cutting practices because the price is anyway set above the costs regarding of what that is.

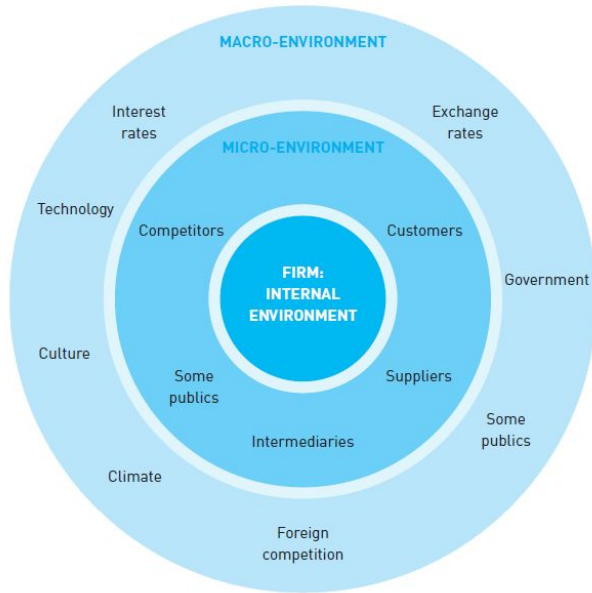
IMPORTANT NOTES

Be realistic when analyzing historical costs or doing estimation. Thoroughly understand the cost structure and what takes up the majority of costs, what is essential and non-essential.

Plan to standardize cost structure in your entity. This enables your entity to have a clear guidance to achieve sustainability in the long run, and also future cost analysis will be a lot easier with concrete data to refer to.

Don't consider stakeholders **at this point**. If you focus too much on what stakeholders can afford, you might not get the most accurate cost analysis (aka don't cheat ourselves). Costs are costs, they don't change whether people are willing/unwilling to pay. Stakeholders will come later in a different step.

MARKET RESEARCH



To understand the forces that control the market we need to first find ourselves in it. To do this we first do a **micro-environment/macro-environment analysis**. What does this mean?

The bigger circle represents the macro-environment. This refers to all the macro variables that affect our everyday economic life. Like Inflation, Purchasing Power Parity, human development index, growth in GDP, etc.

The circle in the middle is the micro-environment. This encompasses the economic activity around AIESEC. In other words, the economic agents that act around AIESEC's activities like customers and competitors.

And lastly in the smallest circle we have AIESEC which contains the variables that we can control and steer like pricing, bundles of products, discounts, etc.

CUSTOMER ANALYSIS

WHAT IS IT?

It is important to know who your customers are in order to understand what their expectations are of the product, what is their perception of it, their **perceived value** and the price they are willing to pay.

This applies to both youth and partners.

GABOR-GRANGER METHOD

The Gabor-Granger Method is based on asking people the likelihood of purchasing a product at different price points.

Best if you already have several price points in mind and want to validate it with your market.

VAN WESTERNDORP METHOD

The Van Westendorp Method is based on the assumption that after explaining a product, 50% of the respondents will be able to answer the question: "What is the maximum price you are willing to pay for this product?"

Best if you are seeking to understand optimal price points driven by your market

Based on the assumption that after explaining a product, 50% of the respondents will be able to answer the question: "What is the maximum price you are willing to pay for this product?"

Gabor-Granger Method

**Define Price
Point**

**Customer
Interview**

Price Analysis

**Decision
Making**

Van Westendorp Method

**Customer
Interview**

Price Analysis

**Decision
Making**

IMPORTANT NOTES

No matter which method you choose from, the key points of a customer research are the same -

Have a clear objective in mind to choose the method. Do you have a price point in mind that you want to validate with your market? Or are you researching the optimum price point driven by your market?

Complete your cost analysis before starting this customer research. Not doing that is like going in blind - without having any concept whether your customers' preferred price points are causing you to lose profits.

Know your respondents before starting interviews. Interviewing 50 potential customers based on initial market profiling and a clear persona instead of 50 random people will ensure your analysis can be more data-driven.

Consider the factors that help to guide your pricing decision (basic costs, positive feedback from customers, competition and entity change management).

CUSTOMER ANALYSIS PROS VS CONS

PROS

Based on customer wants: Who can tell you best how your price is set than the people who buy your services? This is the biggest advantage of this type of pricing.

CONS

Customers often don't estimate accurately how much they would pay for something: This bias can come because they don't see the full product, or simply they can't put a monetary estimate on what they would prefer.

Needs a significant sample and effort: To be able to come up with a final number on these types of pricing a significant sample (maybe around the thousands) to get a really accurate number.

COMPETITOR ANALYSIS

WHAT IS IT?

It is important to know who your competitors are, what is their offering, their AIESEC competitively in the value proposition and what do they charge for their services to position market.

This applies to both competitors offering a similar product as our exchange products for youth and a similar solution we offer to partners.

This analysis has 2 simple steps – identify and gather information.

Example for IGT	Competitor 1	Competitor 2	Competitor 3
Price	1500\$	5000\$	3500\$
Value provided	Easy access to Talent	Recruitment for your Company	Access to International Talent
Extra-costs to be considered	Visa and Housing	Visa	Visa and Housing
Amount of extra-costs	150 000\$	15 000\$	20 000\$
Account Manager	No	Yes	Yes
Help with Visa	No	Yes	No
Support during experience	Yes	Yes	Yes
Help with Accommodation	No	Yes	Yes
Extra services	Nothing	Recruitment process included	Nothing

MACRO-VARIABLES ANALYSIS

WHAT IS IT?

What this tool essentially does is comparing your prices to entities that are in a similar reality as yours by matching such entities with macro-variables like GDP-PPP, HDI and UN country/ territory classification metrics.

You might have already seen this tool as our regular pricing tool from the GFB. You can still find this tool in aies.ec/pricing.

GFB | GLOBAL FINANCE BOARD

Welcome to the Global Pricing Evaluation Tool April 2020

This tool shall help you to analyse your entity's pricing of exchange products. It is based on economic indices and calculates global and regional averages to recommend you valuable pricing options. Additionally, you have the possibility to compare your pricing with your neighboring entities. AIESEC's financial goal is to be financially sustainable. See this report as supporting tool to find the right pricing in your entity, but not as the single one. Nevertheless, you must do a cost analysis to assess if you are

Select your entity in the list [also read the Global Pricing Report for insights and instructions](#)

0. Go to "File" and then "Make a Copy"
1. Read the Global Pricing Report & Guidelines
2. Check "Entity Overview" for General Info
3. Go to the Pricing Analysis tabs and understand the calculated "best" pricing
4. Go to Sustainability Approximation tab and fill out your Financial Data
5. Consolidate Insights and Decide the Best Approach for the Entity

[Link to Pricing Presenta](#)

MACRO-VARIABLES PROS VS CONS

PROS

Easy to compare: With this tool it's very to benchmark your entity with other entities in a similar economic reality as yours. This can give you a good starting point on what is a price that has worked through trial and error across your region.

CONS

Not taking market directly into consideration: Consider this, if no entity has taken the market into consideration in the realities you are comparing yourself to, then you won't have a price that reflects that.

Only internal benchmarking: Because only AIESEC entities are being taken into consideration the tool is biased to whatever internal pricing processes these entities have.

4

***Making
A Decision***

THOUGHT PROCESS

1. Evaluate and Identify the problem with your pricing: This is done at the beginning when you're analysing the costs in your entity.
1. Establish a decision criteria based on your goals: Once you have identified the main components of the problems you have with pricing in your entity you can establish what needs to be there in the solution.
1. Weigh all different decision criteria: Entity Costs, reality of the country/territory (Macro-variables, customer preferences, competitor's prices, etc.
1. Generate alternatives: Macro-variables analysis, Cost plus pricing analysis, Gabor-Granger, Van Westendorp, Competitor's analysis, etc.
1. Evaluate Alternatives: Use the different tools at your disposal for coming up with a numerical final number and create scenarios with those numbers. Have a pessimistic, realistic and optimistic version of your scenarios in terms of exchange results.
1. Choose the best price: Based on step 2 and through a decision-making process like a decision-making matrix, evaluate and choose the best alternative for pricing.
1. Implement the decision.
1. Evaluate the decision.

DECISION-MAKING MATRIX

WHAT IS IT?

A decision-making matrix can help you structure your mind when it comes to coming up with a decision such as pricing. What you do is essentially putting the different criteria or qualities you want to see in the price implementation process and you weigh them against each other.

It is up to you to create the qualities and the weightage (importance) that you give to each of the qualities of the pricing analysis that you do. Based on your weightage you can make sure to come up with a final calculation on what decision should be made.

Quality	Weight	\$100.00	\$200.00	\$300.00	\$400.00	\$500.00
Covers Basic Costs	5	No	No	Yes	Yes	Yes
Positive Feedback from Customers	3	Yes	Yes	Yes	Yes	No
Competitive	2	Yes	Yes	No	No	No
Change management in entity	4	Yes	Yes	Yes	No	No

5

***Implementing
Change***

IMPORTANT NOTES

The change management process in pricing starts the moment you start with the **pricing review** .

If you don't get buy-in from your network and don't properly on-board partners with the new price, your whole process might get lost in implementation.

Your main stakeholders that you need to consider are Network, Customer and Partner.



ONBOARDING THE NETWORK

SOME TIPS:

1

Create a pricing task-force with some LCPs, Product Heads and LCVPs F.

2

Pilot LCs for the first stages of implementation.

3

Knowledge management within compendium and working spreadsheets to retain all data and info, contract changes



Finance & Legal Subcommittee



SUMMARY

1

Evaluate Your Pricing

2

Establish Your Criteria

3

Weigh-in Your Criteria

4

Making A Decision

5

Implementing Change

Q&A

Let's go!



PRICING 2.0



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aies.ec/pricing

AIESEC IN MALAYSIA 1819



WHAT WE DID

- FL subcommittee to work on pricing
- Customer market analysis to understand how customers perceive our products
- Lots and lots of product synergy
- Piloting process
- Early change management with emphasis on purpose and objectives of change

Q&A

Let's go!



BUILT TO
PROUD TO
ACHIEVE
DELIVER

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